



BA and BSc Degree Examinations 2021-22

Department:

Management

Title of Exam:

Business Economics

Time Allowed:

THREE hours (plus one hour upload time)

PLEASE NOTE: Students wishing to be considered for professional exemptions **MUST** submit before the deadline. Provided a student has not already submitted before the deadline, a submission up to 30 minutes late (past the one hour upload time) can be accepted with a 5 mark penalty for degree purposes only. Submissions beyond 30 minutes after the deadline are treated as non-submissions.

Allocation of Marks:

This paper is in two sections: Section **A** and Section **B**. Each section is worth 50 marks.

Instructions for Candidates:

Candidates should answer **ALL** questions.

Answers may be typed or handwritten.

A note on Academic Integrity

We are treating this online examination as a time-limited open assessment, and you are therefore permitted to refer to written and online materials to aid you in your answers.

However, you must ensure that the work you submit is entirely your own, and for the whole time the assessment is live you must not:

- communicate with departmental staff on the topic of the assessment
- communicate with other students on the topic of this assessment.
- seek assistance with the assignment from the academic and/or disability support services, such as the Writing and Language Skills Centre, Maths Skills Centre and/or Disability Services. (The only exception to this will be for those students who have been recommended an exam support worker in a Student Support Plan. If this applies to you, you are advised to contact Disability Services as soon as possible to discuss the necessary arrangements.)
- seek advice or contribution from any third party, including proofreaders, friends, or family members.

We expect, and trust, that all our students will seek to maintain the integrity of the assessment, and of their award, through ensuring that these instructions are strictly followed. Failure to adhere to these requirements will be considered a breach of the Academic Misconduct regulations, where the offences of plagiarism, breach/cheating, collusion and commissioning are relevant - [see AM.1.2.1](#)" (*Note this supersedes section 7.3 of the Guide to Assessment*).

Turnitin Policy

Please note the York Management School has a policy of checking all submitted assessments using the originality report function of Turnitin text matching software. This policy will be applicable to all online examinations. For further information please see the Integrity/Turnitin section of the Study Skills page on the University website.

SECTION A (50 marks)

Answer **ALL** questions and choose one answer for each question.

Question 1

The effect of a change in price on the quantity demanded can be divided into an income effect and a substitution effect.

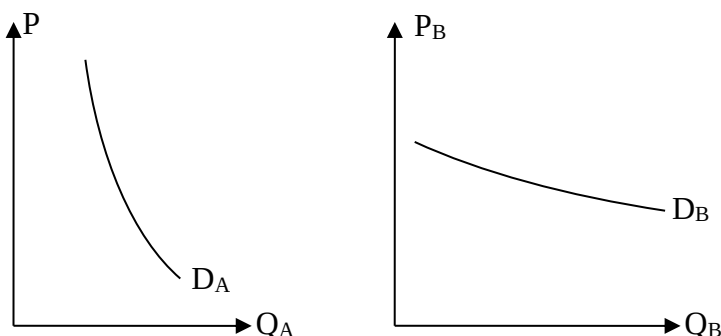
- 1) The substitution effect refers to the effect on quantity demanded of a change in the price keeping (real) income constant.
- 2) The income effect refers to the effect on quantity demanded of a change in (real) income.

- a) Statement 1 is False and Statement 2 is False
- b) Statement 1 is False and Statement 2 is True
- c) Statement 1 is True and Statement 2 is True
- d) Statement 1 is True and Statement 2 is False

(2 marks)

Question 2

Consider these demand curves for products A and B, which are drawn using the same quantity scale and the same price scale.



Which of the following statements describes the demand for these two products?

- a) The demand for A is more elastic than the demand for B indicating that there are relatively few substitutes for A but several good substitutes for B
- b) The demand for A is less elastic than the demand for B indicating that there are several good substitutes for A but relatively few substitutes for B
- c) The demand for A is more elastic than the demand for B indicating that there are several good substitutes for A but relatively few substitutes for B
- d) The demand for A is less elastic than the demand for B indicating that there are relatively few substitutes for A but several good substitutes for B

(2 marks)

CONTINUE TO NEXT QUESTION

Question 3

Consider the retail market for electricity. Assume that there is a maximum price for electricity, set by the government, that is below the market equilibrium price for electricity. Maximum prices can sometimes lead to a deadweight loss. The government announces that next year the maximum price will increase. Therefore,

- a) The deadweight loss increases.
- b) The deadweight loss decreases.
- c) The deadweight loss stays the same.
- d) There is no deadweight loss.

(2 marks)

Question 4

The profit maximization condition for a firm in a market with monopolistic competition is the following (MR is marginal revenue, MC is marginal cost, P is price, ATC is average total cost, TR is total revenue):

- a) $MR=MC$.
- b) $MC= P$.
- c) $MR=ATC$.
- d) TR to be maximum.

(2 marks)

Question 5

Monopolistic competition and perfect competition have some features in common. Does the following statement: "Firms can freely enter in the industry, there are no entry barriers" apply to:

- a) Monopolistic competition?
- b) Perfect competition?
- c) Both monopolistic competition and perfect competition?
- d) Neither monopolistic competition, not perfect competition?

(2 marks)

Question 6

Increasing economies of scale can be defined as:

- a) If inputs are doubled, output doubles.
- b) Large-scale production leading to a better organisation of the factors of production.
- c) Large-scale production leading to bigger profits.
- d) Large-scale production leading to lower costs per unit of production.

(2 marks)

CONTINUE TO NEXT QUESTION

Question 7

Government policies that focus on increasing productive potential of the economy are known as:

- a) Supply-side policies.
- b) Monetary policies.
- c) Demand-side policies.
- d) Fiscal policies.

(2 marks)

Question 8

Consider the following statements about a perfectly competitive market:

- (i) Firms are price takers, that means that the change in one firm's output has no influence on the price the firm receives per unit.
- (ii) One of the four assumptions of the model of perfect competition is that there is free entry into the market.

Which of the above statements is correct?

- a) Statement (i) is correct, statement (ii) is incorrect.
- b) Statement (i) is incorrect, statement (ii) is correct.
- c) Both statements are correct.
- d) Both statements are incorrect.

(2 marks)

Question 9

Which of the following statements is false about monopolies?

- a) A natural monopoly arises when there is not enough market demand to have more than one firm in the market.
- b) There is free entry into the market and no entry barriers.
- c) Monopolies can arise after intervention by the government, for example, copyright and trademarks.
- d) In the long-run, monopoly firms can make supernormal profits.

(2 marks)

CONTINUE TO NEXT QUESTION

Question 10

Consider a market of oligopolistic competition (quantity competition or Cournot competition). In the long run

- (i) Consumers complain that firms have market power and make large positive economic profits and that prices are high.
- (ii) Firms complain that the competition in the market is fierce.

Which of the above statements is correct?

- a) Statement (i) is correct, statement (ii) is incorrect.
- b) Statement (i) is incorrect, statement (ii) is correct.
- c) Both statements are correct.
- d) Both statements are incorrect.

(2 marks)

Question 11

A shift in the demand curve could be caused by a change in any of:

- a) Tastes, the price of the good and the price of complements.
- b) Income, the costs of production and the price of other goods.
- c) Income, tastes and the price of other goods.
- d) Income, tastes and the costs of production.

(2 marks)

Question 12

John and Jasmine are planning to go out in the evening. John likes to go to the movies, Jasmine likes to go to the opera. John prefers going to the opera with Jasmine more than going to the movies alone. Jasmine prefers going to the movies with John more than going to the opera alone. Which statement is not correct?

- a) Both going to the opera is a Nash equilibrium.
- b) Both going to the movies is a Nash equilibrium.
- c) John going to the movies and Jasmine going to the opera is a Nash equilibrium.
- d) There is at least one Nash equilibrium.

(2 marks)

CONTINUE TO NEXT QUESTION

Question 13

The price of a Volkswagen Tiguan is considerably higher in the UK than in France even though the production and transport costs are very similar. This is an example of

- a) First degree price discrimination.
- b) Second degree price discrimination.
- c) Third degree price discrimination.
- d) No price discrimination.

(2 marks)

Question 14

What would be the effect on the demand for money curve of a rise in interest rates?

- a) There would be a movement up along it.
- b) It would shift to the left.
- c) It would shift to the right.
- d) There would be no effect.

(2 marks)

Question 15

A good where both the degree of rivalry and the degree of excludability is low is called:

- a) A pure private good.
- b) A common good
- c) A public good.
- d) A club good.

(2 marks)

Question 16

Consider the following statements:

- Statement (i): When countries specialise in the production of a certain product, they do so because they have a comparative advantage.
- Statement (ii): An example of retaliation is imposing restrictions on import to make sure that the international market price equals the domestic market price.

Which of the above statements is correct?

- a) Statement (i) is correct, statement (ii) is incorrect.
- b) Statement (i) is incorrect, statement (ii) is correct.
- c) Both statements are correct.
- d) Both statements are incorrect.

(2 marks)

CONTINUE TO NEXT QUESTION

Question 17

Consider the supply curve of coffee. What would be the effect of an increase in the price of tea?

- a) Rightward shift.
- b) Movement up along the curve.
- c) Leftward shift.
- d) Movement down along the curve.

(2 marks)

Question 18

Which of the following is an disadvantage of fixed exchange rates?

- a) Little or no speculation.
- b) Less volatility of exchange rates.
- c) Certainty for the business community.
- d) Inability to adjust to external shocks and problems with international liquidity.

(2 marks)

Question 19

Consider the exchange rate of pound sterling against the dollar. In which of the following cases is the pound expected to appreciate?

- a) A rise in interest rate.
- b) An increase in inflation rate: higher inflation in UK than abroad.
- c) A rise in UK incomes (relative to USA).
- d) There is excess supply for pound.

(2 marks)

Question 20

Which one of the following would cause a leftward shift in a firm's demand curve for labour?

- a) A rise in demand for the good.
- b) A fall in employers' national insurance contributions.
- c) A fall in the productivity of labour.
- d) A rise in the wage rate.

(2 marks)

CONTINUE TO NEXT QUESTION

Question 21

The difference between maximum willingness to pay and price is known as:

- a) Total benefits.
- b) Producer surplus.
- c) Deadweight loss.
- d) Consumer surplus.

(2 marks)

Question 22

Aggregate demand/expenditure in the economy could be defined as:

- a) Consumption.
- b) Domestic consumption + Investment + Government expenditure + Export.
- c) Domestic consumption + Savings + Taxes + Import.
- d) Wages + rents + interest payments.

(2 marks)

Question 23

Which one of the following is not a factor of production?

- a) Capital.
- b) Labour.
- c) Machinery.
- d) Equilibrium.

(2 marks)

Question 24

If a firm is a price taker, then which of the following statements is correct?

- a) The firm can increase sales by reducing price.
- b) The firm has significant monopoly power.
- c) The firm has no ability to influence market price.
- d) The firm can increase profits by raising its price.

(2 marks)

Question 25

Fixed cost is related to:

- a) The cost that arises from a fixed input.
- b) The cost that arises from a variable input.
- c) The cost that arises from increasing production.
- d) The cost that has to be paid in pounds and not dollars.

(2 marks)

CONTINUE TO NEXT SECTION

SECTION B (50 marks)

Answer **ALL** questions.

Question 26

By means of graphs explain the relationship between average cost, marginal cost and total cost. Provide economic explanation of the shapes of the curves.

(6 marks)

Question 27

Using graphs explain what economies of scale are in relation to cost.

(3 marks)

Question 28

Explain the concept of opportunity cost and provide a real-world example.

(3 marks)

Question 29

With help of graphs explain the difference between an actual and potential output.

(4 marks)

Question 30

Explain what balance of payments is. In the context of it, list the main three accounts of balance of payments and explain what they record.

(4 marks)

CONTINUE TO NEXT QUESTION

Question 31

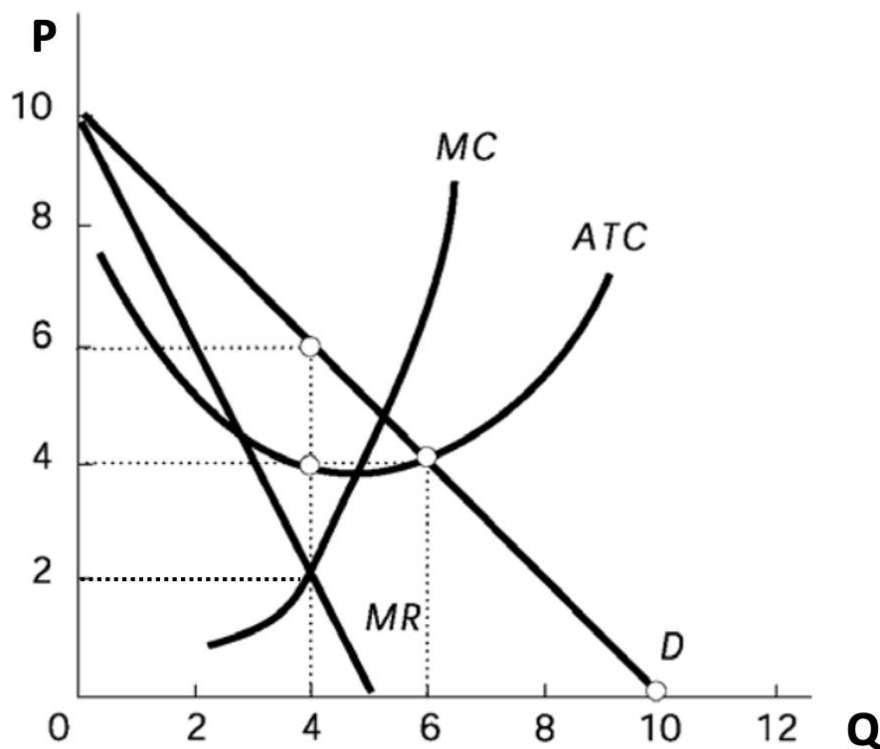
Consider the following simultaneous-move game. The payoffs for Player 1 and Player 2 are shown in the table below. Find all (pure) Nash equilibria.

		Player 2	
		Apple	Pear
Player 1	Red	(3 , 3)	(6 , 0)
	Blue	(0 , 6)	(5 , 5)

(6 marks)

Question 32 (12 marks)

Consider the following situation of a monopolist, where the vertical axis shows the price and the horizontal axis shows the quantity.



a) What is the profit maximising price for this monopoly?

[2 marks]

CONTINUED

- b) What is the profit maximising quantity for this monopoly? [2 marks]
- c) What is the total maximum profit at this price and quantity? [2 marks]
- d) Explain how product differentiation can help company to gain market power? [2 marks]
- e) Using examples, explain the difference between vertical and horizontal product differentiation. [4 marks]

Question 33 (Total 12 marks)

Workers in two countries A and B can produce either Wheat or Cars. The annual output of a worker in each country is given in units of each good in the table below.

<i>Country</i>	<i>Wheat</i>	<i>Cars</i>
A	20	500
B	1,000	2,000

- a) Which country has an absolute advantage in the production of Wheat and Cars? Why? [2 marks]
- b) Which country has a comparative advantage in the production of Cars. Why? [2 marks]
- c) Suppose the terms of trade between the two countries is 10 units of Cars for 1 unit of Wheat. Would the trade take place under these terms? Explain how each country would benefit from trade on these terms. [4 marks]
- d) Discuss advantages and disadvantages of using tariffs as protection to trade. [4 marks]

END OF EXAMINATION